



United States
Attorney's Office
Northern District of New York



U.S. Attorney's Office Collects Over \$39 Million in Civil and Criminal Actions in Fiscal Year 2024

Friday, January 31, 2025

For Immediate Release

U.S. Attorney's Office, Northern District of
New York

SYRACUSE, NEW YORK – United States Attorney Carla B. Freedman announced today that the Northern District of New York's Asset Recovery Unit collected \$39,262,324 in civil, criminal and forfeiture actions in Fiscal Year 2024. Of this amount, \$14,085,025 was collected in criminal actions, \$15,874,944 was collected in civil actions, and \$9,302,354 was collected in asset forfeiture actions.

The Northern District of New York also worked with other U.S. Attorney's Offices and components of the Department of Justice to collect an additional \$18,995,733 in cases pursued jointly by these offices. Of this amount, \$39,092 was collected in criminal actions and \$18,956,641 was collected in civil actions.

The U.S. Attorneys' Offices, along with the Department's litigating divisions, are responsible for enforcing and collecting civil and criminal debts owed to the United States and criminal debts owed to federal crime victims. The law requires defendants to pay restitution to victims of certain federal crimes who have suffered a physical injury or financial loss. While restitution is paid to the victim, criminal fines and felony assessments are paid to the Department's Crime Victims Fund, which distributes the funds collected to federal and state victim compensation and victim assistance programs.

Additionally, forfeited assets deposited into the Department of Justice Assets Forfeiture Fund can be used to restore funds to crime victims and for a variety of law enforcement purposes. In Fiscal Year 2024, \$8,330,553 of the funds forfeited in prior years through criminal and civil judicial forfeiture actions in the Northern District of New York were applied to victim compensation.

United States Attorney Carla Freedman stated: "These are great results – every recovery of funds strikes a blow for justice. I created the Asset Recovery Unit shortly after I took office in 2021, and I am incredibly proud of its efforts to make sure that crime does not pay, that crime victims are compensated

as much as possible, and that companies pay appropriately steep penalties when they defraud the government."

In May, [\\$11.3 million was recovered as part of a civil settlement](#) in *United States ex rel. Elevation 33, LLC v. Guidehouse, Inc. and Nan McKay and Associates*, for violations of the False Claims Act, for failing to meet cybersecurity requirements in a federally funded contract intended to ensure a secure online environment for low-income New Yorkers to apply for federal rental assistance during the COVID-19 pandemic. Guidehouse and its subcontractor, Nan McKay and Associates, admitted as part of a settlement agreement that neither satisfied their obligation to complete the required testing of the web site used to house applicants' information, and the site was shut down within 12 hours after certain applicants' personally identifiable information had been compromised.

In February, [the Northern District of New York restored \\$4,950,440 in funds forfeited from Richard J. Sherwood and Thomas K. Lagan](#), who were sentenced to both federal and state prison for stealing approximately \$11.8 million from the estates of three sisters who died. These funds were initially forfeited by the government through its criminal prosecutions of Sherwood and Lagan, and were restored in 2024 to the victims of the fraud by the Attorney General and the Money Laundering and Asset Recovery Section of the United States Department of Justice. The victims include churches, Ukrainian-American civic organizations, a local hospital and a local university scholarship fund.

In September, the U.S. Attorney's Office [recovered \\$1 million from Derek R. Schwartz](#), who was sentenced this summer to 72 months in prison for conspiring with former ValueWise CEO Michael T. Mann to defraud companies that loaned millions of dollars to ValueWise subsidiaries. These funds will be distributed to two financing companies that were victims of a sophisticated, years-long scheme.

The Asset Recovery Unit is an initiative that works to deprive criminals of the proceeds of crimes, recovers property that may be used toward restitution, and enforces collection of criminal and civil debts owed to the United States or to victims of federal crimes. The Asset Recovery Unit is comprised of Assistant United States Attorneys Lisa Fletcher, Elizabeth Conger and Melissa Rothbart, Paralegals Joshua Goodfriend, Marianne Meigs, Carly Clay, Erin Hyatt, Jiselle Cabezas, and Teilor Kaiser Clarey, and Investigative Analyst Jason Babiarz.

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